GMS WEEKLY

Your Source for Recycling News

March 11th, 2022
Volume 236, Issue 1022
Week 10

Highlights:

- **Further boost.**
- **Reaching records.**
- **India corrects.**
- **Pakistan moves.**
- **Turkish fire.**
- **First sale?**

QUOTE of the WEEK

"Take the attitude of a student, never be too big to ask questions, never know too much to learn something new."

– *Augustine Og Mandino*

MARKET COMMENTARY

NO END IN SIGHT!

Markets have endured another boost off the back of surging commodity prices and there is every expectation that the USD 700/LDT mark will be imminently breached in the sub-continent markets once again.

These are comfortably (and certainly) the highest numbers we have seen since the historical highs of 2008, when over USD 800/LDT was surpassed and the recent universal skyrocketing steel plate prices across the recycling board (even in China) are carrying the weight of these recent prices.

The chief movement is coming from a rampant Bangladeshi market where steel prices continue to surge upwards (some of the most noteworthy increases of late), in line with soaring commodities in general, as the Russian invasion of Ukraine intensifies into an uncertain future.

Even in India, after two weeks of spectacular gains and despite registering further gains this week, steel prices had a minor correction during the course of the week, raising the guard of local recyclers who have been observing the rate of the recent climb. It may however be that prices continue their upward trajectory in Alang next week again, only to mirror global commodity prices moving upwards / forward.

Pakistan has also started to also improve once again, having missed several geographically positioned vessels that have since been diverted to competing shores.

On the Far end, the Turkish market, like the Bangladeshi market, recorded some impressive gains in local steel plate prices this week, pushing vessel prices into unchartered territory, and certainly worthy of exploiting on quick deliveries.

It remains to be seen just where the first transactions on market tonnage will be concluded at or above USD 700/LDT, as End Buyers do seem somewhat nervous to transact at these new decade long highs.

For week 10 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Firm	650 / LDT	660 / LDT	670 / LDT
2	India	Weakening	625 / LDT	635 / LDT	645 / LDT
3	Pakistan	Firming	620 / LDT	630 / LDT	640 / LDT
4	Turkey	Hot	450 / LDT	460 / LDT	470 / LDT

BANGLADESH

LEADING LIGHTS!

Surging on.

Bangladesh leads the way once again, as steel prices surged upwards by nearly USD 65/Ton this week and vessel prices (as a result) pushed on towards the USD 700/LDT mark, in what have been nothing short of impressive gains from the market leaders.

Notwithstanding (and despite multiple enquiries), there has yet to be a sale to take place at these new levels as there does seem to be a growing reticence from Chattogram Buyers to secure ships at the peak of the market, perhaps anticipating likely falls ahead.

LC limits?

There is also a question mark on whether L/Cs can (will?) be opened by various banks at these new peaks, with certain Recyclers being required to place increased securities with the banks, in order to get those limits.

NO MARKET SALES REPORTED

INDIA

STEEL TURN!

Reversals.

Despite some worrying reversals towards the end of the week, local steel plate prices surged even further this week, jumping nearly USD 35/Ton – clearly a by-product of the global crisis that has affected all of the major recycling destination.

Consequently, this has led to increasing nerves from End Buyers and a reticence to offer on any units that are currently on the bidding tables, whilst they are increasingly adopt a wait-and-watch attitude towards further market developments.

Pakistan back.

Coupled with an Indian Rupee that has increasingly depreciated (briefly past Rs. 77) this week, ending at nearly 76.5X against the U.S. Dollar, a lot of the recent Indian lustre has been taken out of the market.

As a result, many of the market units (which were being discussed for an India delivery), now seem to be candidates for competing locations, as even Pakistan comes back into the picture this week.

NO MARKET SALES REPORTED

PAKISTAN

WARMING UP!

Back to buy?

Despite some recent nerves by Gadani Buyers, the Pakistani recycling market seems to be warming up once again, thanks to surging steel / commodity prices because of the ongoing crisis in Ukraine.

While not as impressive as Bangladesh, local steel plate prices reportedly jumped nearly USD 46/Ton this week – certainly impressive unto itself.

Few candidates.

It would seem as though Recyclers in both Pakistan and India are just about on par at the moment (in terms of levels being offered), although there is a fundamental lack of candidates available for negotiation in order to test this pricing theory.

There are currently no signs of Gadani coming close to (or perhaps breaching) the USD 700/LDT threshold being (nearly) breached in Bangladesh, but at least there are some positive signs for this market after a period on the side-lines.

NO MARKET SALES REPORTED

TURKEY

FIRING ON!

The ongoing crisis in the Black Sea is further pushing fundamentals into seemingly unchartered territory, as local offerings on tonnage make a noteworthy jump to get ever closer to the USD 500/Ton mark – certainly a first for this market.

USD 500/Ton?

Not only did local steel plate prices jump a remarkable USD 60/Ton this week, even import steel improved an additional USD 15/ton. Moreover, in keeping with the global competition and further displaying effects of the Ukrainian crisis, the currency continues to weaken, virtually sniffing the TRY 15.X mark against the U.S. Dollar.

The length of uncertainty surrounding the Baltic crisis remains uncertain, the conflict is invariably pushing scrap vessel prices back to the highs of 2008 (and the markets certainly remember how that roller coaster ended).

2008 repeat?

How this pricing strategy ends for Ship Owners depends on how promptly they are able to get their vessels into Aliaga and make best of the current incredible (for Turkey) pricing on offer.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Although no longer connected to the beer company, Guinness World Records was founded by the managing director of Guinness Brewery in the 1950s.*
- *Michelin stars are highly coveted by elite and upscale restaurants the world over—but they're actually given out by the Michelin tire company, the same one whose mascot is the marshmallow-like Michelin Man. If you want to get fancy, pronounce it in the original French, "mich-LEH."*
- *More people visit France than any other country (Spain is second; the US third).*
- *You can still stay at the world's oldest hotel, Nisiyama Onsen Keiunkan in Japan, which was founded in 705 AD.*
- *The longest place name in the word, at 85 letters, is "Taumatawhakatangihangakoauauotamateaturipukakapikimaungahoronukupokaiwhenuakitanatahu," New Zealand. Locals just call it Taumata Hill.*
- *The coldest temperature ever recorded occurred in Antarctica, -144 Fahrenheit, as reported by researchers in a scientific journal in 2018.*
- *The hottest temperature ever recorded occurred in Furnace Creek, Death Valley, California, at 134 degrees Fahrenheit on July 10, 1913.*
- *Japan records the most earthquakes of any country in the world; but the most earthquakes actually occurs in Indonesia.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
March 01 – Maha Shivratri March 19 - Holi	February 28 – March 06 March 17 – March 24

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
March 17 – Birthday of Sheikh Mujibur Rehman March 19 – Shab-e-Barat March 26 – Independence Day	March 03 – March 06 March 19 – March 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in March	March 23 – Pakistan Day	**No holidays in March.**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of March 11, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	AL Baraka III	1,963	Livestock Carrier	Arrived March 08
2	Cape Enterprise	22,043	Bulk Carrier	Arrived March 07
3	**Harriet**	**2,292**	**Tanker**	**Arrived December 09**
4	MNG Capt James Cook (Under Tow)	2,778	Supply Vessel	Arrived February 12
5	Moskovskaya Olimpiad	3,916	Fishing Vessel	Arrived March 08
6	Myth	4,540	RoRo	Arrived March 08
7	*Pavel Panin*	*3,153*	*Fishing Vessel*	*Beached March 08*
8	Sapper	5,503	Chemical Tanker	Arrived March 07
9	*Tag 5*	*1,764*	*Supply Vessel*	*Beached March 09*
Total Tonnage		**47,952**		

CHATTOGRAM - Port Position as of March 11, 2022

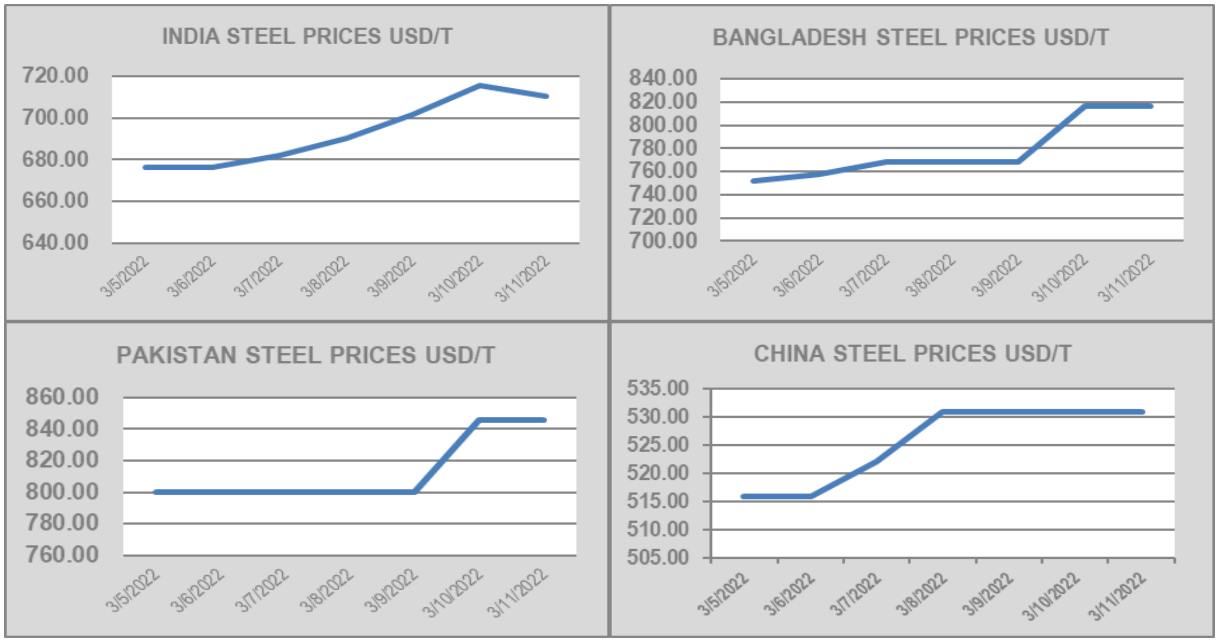
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Aristos	10,529	Tanker	Arrived March 11
2	EX BNS Shahjalal	TBA	Supply Vessel	Arrived March 10
3	Gala	16,885	Tanker	Arrived February 28
4	*Hang*	*6,904*	*Reefer*	*Beached March 07*
5	*Kane*	*12,389*	*Tanker*	*Beached March 05*
6	Kapten Caroq	20,015	Tanker	Arrived March 11
7	Petrogaruda	19,015	Tanker	Arrived March 10
Total Tonnage		**85,737**		

GADANI - Port Position as of March 11, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Atlantic Enterprise*	*4,083.00*	*Accommodation Ship*	*Beached March 06*
2	*DB Global 1*	*1,563.00*	*Barge*	*Beached March 07*
3	*Jicore 9*	*468.00*	*Tug*	*Beached March 07*
4	*Star I*	*18,000.00*	*Tanker*	*Beached March 10*
5	Trident Bird	2,000.00	Tanker	Arrived March 05
Total Tonnage		**26,114**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/5/2022	676.21	51,500.00	800.00	140,000.00	752.06	64,000.00	515.90
3/6/2022	676.21	51,500.00	800.00	140,000.00	757.93	64,500.00	515.90
3/7/2022	682.17	52,500.00	800.00	140,000.00	768.51	65,400.00	522.23
3/8/2022	690.42	53,100.00	800.00	140,000.00	768.51	65,400.00	530.98
3/9/2022	701.41	53,700.00	800.00	140,000.00	768.51	65,400.00	530.98
3/10/2022	715.60	54,600.00	845.71	148,000.00	816.69	69,500.00	530.98
3/11/2022	710.27	54,300.00	845.71	148,000.00	816.69	69,500.00	530.98



www.gmsinc.net GMS_Leadership GMS, Inc. snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311